SL. No.141

NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH
COURT HALL NO: II

(Video Conference)

CORAM: DR.VENKATA RAMAKRISHNA BADARINATH NANDULA – HON'BLE MEMBER (J)
CORAM: SHRI VEERA BRAHMA RAO AREKAPUDI, HON'BLE MEMBER (T)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, HYDERABAD BENCH, HELD ON 10.10.2022 AT 02:30 PM THROUGH VIDEO CONFERENCE

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	**CP (CAA) No.10/2022**
NAME OF THE COMPANY	**Gangavaram Port Limited**
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	**230**

ORDER

Order in CP (CAA) No. 10 of 2022 is pronounced vide separate sheets. In the result, the scheme is sanctioned.

Accordingly, the petition is allowed.

MEMBER (T) **MEMBER (J)**

Satya Priya

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH, HYDERABAD

C.P. (CAA)/10/2022
CONNECTED WITH
CA (CAA)/ 2 HYD 2022

Under sections 230 - 232 of the Companies Act, 2013;

In the matter of Gangavaram Port Limited.

Gangavaram Port Limited,
Hansa Plaza, 2nd to 4th Floor, Plot No. 798, Road No. 36, Jubilee Hills, Hyderabad – 500 033, Telangana, India.

.... **Petitioner Company**

Date of Order: 10.10.2022

Coram:
Dr.Venkata Ramakrishna Badarinath Nandula, Member Judicial
Shri Veera Brahma Rao Arekapudi, Member Technical

Parties/Counsel Present:

For the Petitioner:- Mr. Sandeep Singhi and Ms. Rubaina S. Khatoon, Counsels

[PER: BENCH]

1. Under consideration is an Petition filed Under Sections 230- 232 of the Companies Act, 2013, inter-alia seeking following reliefs:

   (a) This Tribunal be pleased to sanction the Scheme being Annexure "I" to the Petition and declare the same to be binding on the Petitioner Company, its Equity Shareholders, Unsecured Creditors and all persons connected under the Scheme;

   (b) This Hon'ble Tribunal be pleased to pass appropriate orders and directions under Section 230 read with Section 232 of the Companies Act, 2013, which may be necessary or relevant to the facts of the present petition;

   (c) This Hon'ble Tribunal be pleased to dispense with the filing and issuance of drawn up orders as envisaged under Rule 17(3) and Rule 20

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of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and be further pleased to direct that the concerned authorities shall act on the copy of the order, passed by this Hon'ble Tribunal sanctioning the Scheme, along with the Scheme duly authenticated by the Registrar, National Company Law Tribunal, Hyderabad Bench; and

(d) This Hon'ble Tribunal be pleased to pass such further or other orders/orders and/or issue such directions as this Hon'ble Tribunal may deem fit and proper in the facts and circumstances of the present petition.

2. The object of this petition is to obtain sanction of this Tribunal to the Composite Scheme of Arrangement among Gangavaram Port Limited (hereinafter referred to as "Petitioner Company" or "GPL", as the context may admit) and Adani Ports and Special Economic Zone Limited (hereinafter referred to as "APSEZ") and Adani Gangavaram Port Private Limited (hereinafter referred to as "AGPPL") and their respective shareholders and creditors (hereinafter referred to as the "Scheme"). The Scheme, *inter alia*, provides for:

(a) amalgamation of GPL with APSEZ, with effect from the Appointed Date 1 (*as defined in the Scheme*), pursuant to the provisions of Sections 230 – 232 and/or other applicable provisions of the Act and in compliance with Section 2(IB) of the IT Act (*as defined in the Scheme*); and

(b) transfer of the Divestment Business Undertaking (*as defined in the Scheme*) as a going concern on a Slump Sale (*as defined in the Scheme*) basis, with effect from the Appointed Date 2, by APSEZ to AGPPL for a lump sum consideration under Sections 230 – 232 and/or other applicable provisions of the Act and in accordance with Section 2(42C) of the IT Act (*as defined in the Scheme*).

3. The Registered Offices of the Petitioner Company is situated in the State of Telangana and therefore, they are within the jurisdiction of this Tribunal.

4. GPL was incorporated on 27 September 2001 as Visual Infrastructure Projects Limited, a public limited company, with the Registrar of Companies, Andhra Pradesh, under the provisions of the Companies Act, 1956 and now deemed to be incorporated under the Act. Its name was changed to Gangavaram Port Limited on 25 March 2003. GPL is an unlisted public limited company. The Corporate Identification Number of GPL is U63032TG2001PLC037861. The Permanent Account Number of GPL is AABCV3417E. Gangavaram Port Services (India) Private Limited is the wholly owned subsidiary of GPL. As on 22 September 2021, APSEZ holds 41.89% of the paid-up share capital of GPL, pursuant to acquisition of equity shares of GPL from Windy Lakeside Investment Limited and Government of Andhra Pradesh.

5. The objects for which GPL has been established are set out in its Memorandum of Association. The main objects of GPL are as follows:

"III.
A.
1. To carry on in India or elsewhere either alone or jointly with one or more person, Government, local or other Bodies the business of designing, developing, building, maintaining and operating seaport terminals for bulk, break bulk, liquids, chemicals, gas, petroleum products and containerized cargo and works of all descriptions, including sea ports, wharves, docks, piers, railways, tramways, waterways, roads, bridges, construction of submarine pipeline, warehouses, ships vessels of every description, gas work, electric works, water works, drainage and sewerage works and buildings of every description.

"III
B.
37. To amalgamate with any other Company having objects altogether or in part similar to those of this Company."

There has been no change in the main object clause of GPL in the last five (5) years.

6. Presently, GPL is engaged in the business to develop, build, own, operate and maintain the Port (*as defined in the Scheme*), including but not limited to construction, provisions of facilities such as navigation channels, harbor basins, breakwaters, aids to navigation, docks, berths, storage (both covered and open), tank farms, internal roads, rails, conveyor system, cargo handling facilities and system, utilities such as water supply, power supply, bunkering facilities, sewage system, etc., communication facilities, ship repair facilities and all other engineering structural facilities etc. and its associated infrastructure facilities for the development of the Port.

7. The Authorised, Issued, Subscribed and Paid up Share Capital of GPL as on 30 April 2022 was as follows:

Particulars	**Amount (in Rupees)**
Authorized Capital	
100,00,00,000 equity shares of INR 10/- each	1,000,00,00,000
Total	**1,000,00,00,000**
Issued, subscribed and Paid up Share Capital	
51,70,00,000 equity shares of INR 10/- each	517,00,00,000
Total	**517,00,00,000**

8. The rationale for the Scheme is as under:

(a) GPL is operating an all-weather, deep-water, multi-purpose port located at Gangavaram, Andhra Pradesh, under a 30 year (extendable for a period of another 20 years in 2 blocks of 10 years each) Build-Own-Operate-Transfer concession from GoAP (*as defined in the Scheme*).

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(b) The Scheme will result in catering to a large hinterland forming part of Visakhapatnam and Gangavaram Ports in the State of Andhra Pradesh. The State of Andhra Pradesh is progressive, and growth focused with investor friendly policies. It has great potential of industrial development which in turn would require new ports and facilities. With this Scheme, APSEZ would be able to expand its presence in the State of Andhra Pradesh and contribute to the progress of the state's economy by upgrading and further developing the state's marine infrastructure through its wholly owned subsidiary company, viz. AGPPL.

(c) The Scheme will help in creating synergies and would benefit from the combined resources, experience and expertise in developing and operating ports in India. This would lead to reduction in logistic costs for the customers and trade as a whole as a part of the same APSEZ group. Additionally, development of Gangavaram port would also create value for APSEZ and its shareholders.

9. The Petitioner Companies had filed CA(CAA)No.2/230/HDB/2022 before this Bench seeking dispensation of convening meetings of the Equity Shareholders, Secured and Unsecured Creditors of both the Petitioner Companies. The Tribunal vide its order dated 06.05.2022 dispensed with convening the meetings of the Equity Shareholders, Secured and Unsecured Creditors of the Petitioner Company.

10. The Petitioner Companies then filed the present Petition before this Tribunal seeking sanction of the Scheme with appointed date 1 as April 1, 2021 and appointed date 2 shall mean April 2, 2021. This Tribunal vide its order dated 13.05.2022 ordered notice of hearing of the Petition to be advertised in Daily Newspapers one in Telugu Daily Newspaper, Hyderabad Edition and another one in English Daily News Paper, Hyderabad Edition. Accordingly, the Petitioner Companies published notice of hearing of the Petition in English Newspaper i.e. Indian Express and Telugu Newspaper i.e. Sakshi on

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01.06.2022. The notice of hearing of the Petition was served on the Regional Director (South East Region), Ministry of Corporate Affairs, Hyderabad, Registrar of Companies, Hyderabad, Official Liquidator and Income Tax Department by hand on 09.05.2022.

11. Heard the Counsels appearing for the Petitioner Companies, Regional Director and Official Liquidator.

12. The Official Liquidator vide his Report dated 08.06.2022 filed on 10.06.2022 while reiterating the averments made in the Petition made the observations in Para 22, and the Petitioner Companies filed their reply affidavit dated 18.06.2022 filed on 20.6.2022. The Official Liquidator has filed its Further Report dated 22.06.2022 filed on 22.06.2022 as detailed below:-

Para No.	**Observations of the Official Liquidator (vide report dated 08.06.2022)**	**Reply of the Petitioner vide affidavit dated 18.06.2022 (received by the Official Liquidator on 20.06.2022)**	**Further Observations of the Official Liquidator.**
22(a)	That, Out of three companies involved in Scheme of Arrangement, two companies viz., M/s Adani Ports and Special Economic Zone Ltd (APSEZ) and M/s Adani Gangavaram Port Private Ltd. (AGPPL) falls under the jurisdiction of Hon'ble National Company Law Tribunal, Ahmedabad Bench and hence, this Hon'ble Tribunal may sanction the scheme subject to the orders to be obtained from Hon'ble National Company Law Tribunal, Ahmedabad Bench as well	The Petitioner Company stated that, they do not offer any comments.	**No further observation.**

22(b)	That M/s Gagavaram Port Ltd (GPL), Petitioner Company herein only falls under jurisdiction of the Official Liquidator, Hyderabad, and hence, the Official Liquidator is submitting observations only to the extent of the Petitioner Company.	The Petitioner Company stated that, it is matter of record and they do not offer any comments.	**No further observation.**
22(c)	That, the Clause 1.2 (xiv) of Part-II of the Scheme seeks to protect the employees of the Petitioner Company who are in service as on the Effective date and accordingly, this Hon'ble Tribunal may be pleased to direct the Petitioner Company to submit an undertaking to this Hon'ble Tribunal to the effect that there would no retrenchment of any employee who were in service As on Appointed Date-1 (i.e. 01.04.2021) as well.	The Petitioner Company submitted that, the Scheme nowhere provides for any retrenchment of any employee of the Petitioner Company and given an undertaken that there would be no retrenchment of any employee of the Petitioner Company except in accordance with applicable law.	**May be directed on merits.**
22(d)	That as per the information provided by the Petitioner Company to the Official Liquidator on 27.05.2022, there are no pending litigations or prosecutions against the Directors/Company.	The Petitioner Company stated that, it is matter of record and they do not offer any comments.	**No further observation.**
22(e)	That, as per clause (v) of Annexure-"1" to the Independent Auditor's Reports dated 26.06.2021 of the Petitioner Company for the financial year ended 31.03.2021, it has been stated by the Auditors that "the	The Petitioner Company stated that, it is matter of record and they do not offer any comments	**No further observation**

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	company has not accepted any deposits within the meaning of Sections 73 to 76 of the Act and the Companies (Acceptance of Deposits) Rules, 2014 (as amended)."		

13. Official Liquidator has further submitted that this Tribunal may be pleased to decide the Petition on merits.

14. The Regional Director vide his Report dated 08.06.2022 filed on 10.06.2022 while reiterating the averments made in the Petition made the observations and the Petitioner Companies filed their reply affidavit dated 23.06.2022 filed on 23.06.2022 as detailed below:-

Para No.	Observations by Regional Director	Reply by the Petitioner Company
3(a)	The scheme provides for re-classification and increase in authorised capital of the Transferee Company. Hence the Tribunal may be pleased to direct the Company to submit an undertaking to pay the differential registration fee and differential duty, if any payable while filing INC-28 with RoC, Ahmedabad.	That no fees would be payable on the combined authorised share capital. However, APSEZ shall comply with all the provisions of Section 232(3)(i) of the Companies Act, 2013.
3(g)	Transferee Company requires necessary approvals of the Stock Exchange for the proposed issue of shares of listed companies to shareholders of Transferor Company. Hon'ble Tribunal may be pleased to direct the Petitioner Transferor Company to comply with the same by way of an undertaking.	That APSEZ has complied and shall remain in compliance with SEBI circulars.
(h)	Hon'ble Tribunal may be pleased to direct the Petitioner Company(s) to preserve its books	That APSEZ undertakes to preserve the books of accounts, papers and records of the Petitioner

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	of accounts and papers and records and shall not be disposed off without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.	Company and the same would not be disposed of without prior permission of the Central Government under the provisions of Section 239 of the Companies Act, 2013.
(i)	Hon'ble Tribunal may be pleased to direct the Petitioner Company(s) to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liability in any manner.	That the Scheme nowhere proposes absolving the Petitioner Company from any of its statutory liabilities, if any
5	As per para (vii) (b) of Annexure-1 attached to Independent Auditors Report attached to the Balance Sheet as at 31.03.2022 of the Transferor Company it is stated that there are certain disputes pending before the Customs, Excise and Service Tax appellate Tribunal, Hyderabad and Commissioner of Income Tax Appeals. Hon'ble Tribunal may be pleased to direct the Petitioner Transferor Company to furnish an undertaking that the company will undertake to pay the said dues as and when the demand arises from the above regulatory authorities.	The Petitioner Company Undertakes To Pay The Dues, If Any, In Accordance With Law.
6	As per para 18 of the company's reply it is stated that there is a demand for the Assessment Year 2017-18 of Rs.4,88,54,448/- towards the penalty under Section 270(A) (8) of the Income Tax Act, 1961 for under reporting the Income in consequence of	That in respect of the demand for the Assessment Year 2017-18 of Rs.4,88,54,448/- towards penalty under Section 270A(8) of the Income Tax Act 1961, the Petitioner Company is already in receipt of the immunity order, dated 8.5.2020 under section

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	misreporting, for which company has filed an appeal dated 28.04.2022 with the CIT(A) along with the Immunity Order u/s 270AA of the Income Tax Act. Further it is also stated that there is a demand for the Assessment Year 2018-19 to the extent of Rs.51,43,570/- arisen due to TDS credit mismatch for the said year. Company had filed the rectification petition with the Income Tax Department (Jurisdictional Assessing Officer) on 08.03.2022 stating that there is no TDS credit mismatch, along with necessary backup documents and requesting for reversal of the demand in the portal after considering submitted documents. Hon'ble Tribunal may be pleased to direct the Petitioner Company to furnish the present status of the matters pending before CIT(A) and Income Tax Department, before the scheme is allowed.	270AA of the Income Tax Act, 1961. As the effect of the immunity order has not been given by the concerned income tax department, the Petitioner Company has filed an appeal before the CIT (Appels) and the same is pending. Further, in respect of the demand for the Assessment Year 2018-19 to the extent of Rs.51,43,570/- arising due to TDS credit mismatch and it is submit by the Petitioner Company that it has filed rectification application dated 8.3.2022 before the concerned assessing officer. According to the Petitioner Company there would be a refund of the amount and that there would be no liability in this regard. However, the Petitioner Company undertakes to honour the alleged liabilities if so decided in the pending proceedings and subject to the rights available to the Petitioner Company under applicable law.
7	E-mail dated 10.06.2022 has been received from Mr. S. Satyanarayana Rao, Assistant Commissioner of Income Tax, Hyderabad, stating that certain demands are outstanding for the Assessment Year 2017-18 (outstanding demand of Rs.4,88,54,448/-) & 2018-19 (outstanding demand of Rs.54,43,570/-) respectively and stated that this office has no objection in the matter of the Composite Scheme of Arrangement of Gangavaram	Same as above

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	Port Limited and Adani Ports and Special Economic Zone Limited and Adani Gangavaram Port Private Limited and their respective shareholders and creditors, subject to honouring of the liabilities.	
7(a)	Further another e-mail dated 17.06.2022 has also been received from Mr. S. Satyanarayana Rao, Assistant Commissioner of Income Tax, Hyderabad referring to his earlier mail dated 10.06.2022 (as stated above) and in his remarks has stated that "rectification application dated 08.03.2022 regarding TDS credit mismatch is pending. The same is unable to be processed readily due to technical issue in Income Tax Application (ITBA). Subject to the honouring of above liabilities this office has no other objections in respect of Gangavaram Port Limited.	Same as above

15. In view of the above reply the Petitioner Companies prayed this Tribunal to sanction the Scheme.

16. The Petitioner Company enclosed a certificate by Chartered Accountant certifying that the Accounting Treatment proposed in the proposed Scheme is in conformity with Accounting Standard specified under Section 133 of the Companies Act, 2013.

17. Considering the facts and circumstances of the case and on perusal of the Scheme, the documents produced on record and the undertakings given by the Petitioner Companies by way of affidavits, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not

violative of any provisions of law. All the statutory compliances have been made under Sections 230 to 232 of the Companies Act, 2013. Hence ordered.

ORDER

18. The Petition be and the same is allowed with the following directions:-

a) The Scheme of Amalgamation Annexed to the Petition with appointed date as proposed in the scheme is hereby sanctioned. The same shall be binding on the Petitioners and their respective Shareholders, Secured Creditors, Unsecured Creditors/Trade Creditors, Employees and all concerned.

b) This order shall not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges and fees if payable, or from any applicable permissions that may have to be obtained or compliances that may have to be made under law.

c) Petitioner company i.e., Gangavaram port is directed to furnish a certificate from the auditor stating that the scheme is in conformity with the accounting standards as per provisions of Companies Act, 2013.

d) All concerned shall act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme forthwith.

e) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

f) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in the same newspapers in which previous publications were issued.

g) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of

Amalgamation under the provisions of the Companies Act, 2013 and submit necessary compliance and undertaking relating to the objections raised by the Regional Director (SER), MCA, GoI, Hyderabad.

h) Any person shall be at the liberty to approach to the Tribunal in the above matter, in case of any grievance or for any direction that may be necessary.

19. With the above directions, the CP(AA) Merger & Amalgamation/10/2022 is disposed of.

10/10/2022

Veera Brahma Rao Arekapudi
Member Technical

Dr.Venkata Ramakrishna Badarinath Nandula
Member Judicial

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